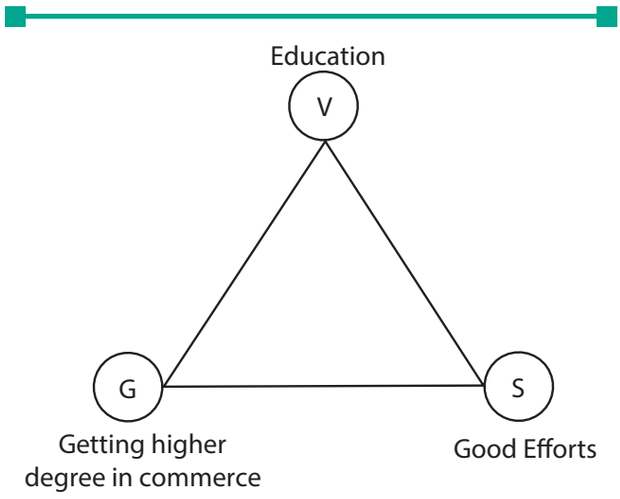


7.3 DECISION MAKING

The various steps in the management process are really a series of decisions, based upon our previous experiences. Therefore, decision making is the heart of the management. **A decision can be defined as a course of action consciously chosen from the available alternatives for the purpose of desired result.** So the role of decision making in management involves knowing and actually applying essential information in problem situations of day to day life. Thus it is used to achieve goals and assessing standards.

Management is a mental process which involves a series of decision making.

7.3.1 The steps in decision making process are:

1. **Defining the Problem**
   It involves the recognition of the problem. It needs relevant information to identify and define it first. Unless the problem is clearly defined and analysed the ultimate decision would not be effective. For e.g. planning household activities, purchasing labour saving devices, selecting clothing for the family.

2. **Identifying the Alternatives**
   Decision making will be effective only when one identifies possible alternatives. The choice of best selection of alternatives requires thorough knowledge about the availability of resources and their limitations.

3. **Analysing the Alternatives**
   After identifying the alternatives, the consequences of each alternative is systematically found, considering the goals, values and standards.

4. **Selecting an Alternative**
   After analysing the problem the possible alternatives. are selected. Evaluation plays a very important role in this selection. Choosing the best from the several possible alternatives will be helpful in solving the problem.

5. **Accepting the Consequences of the Decision**
   This is the ability to assess and accept the consequences of the decision for making future decision. It is the evolutional process. The process of evaluating the alternatives is based on your goals, values and standards. This experience would indicate the final outcome of the decision making. It creates self confidence in people and gives feedback to make effective decisions in the future.

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